DYNAMIC DEBT COVENANT SURVEILLANCE ENGINE

Quarterly Covenant Surveillance Report

As of May 24, 2026

PORTFOLIO SUMMARY

5 Credits Monitored	2 Covenant Breach	1 Watchlist	2 Compliant

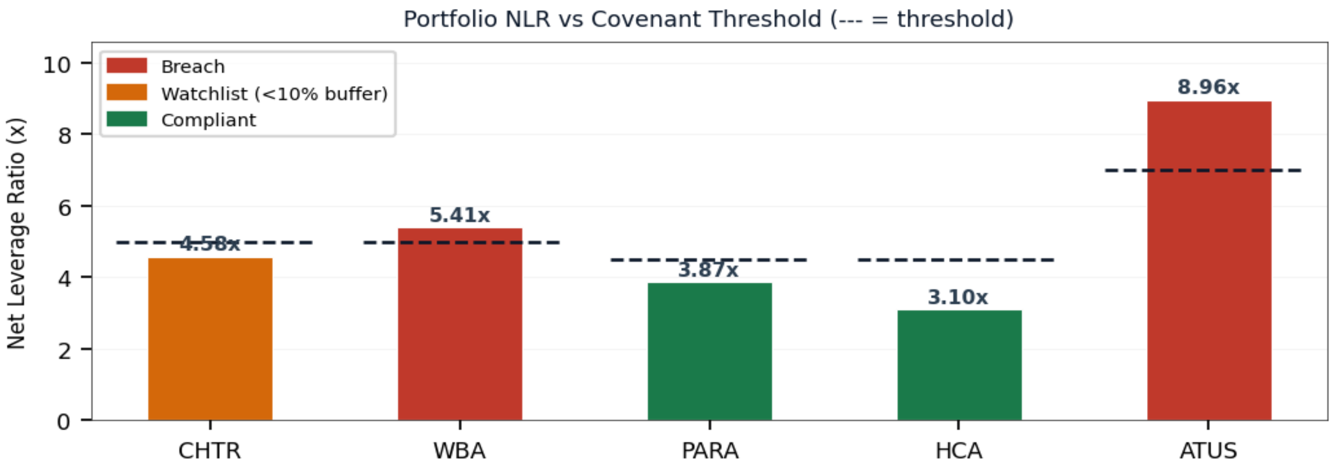

Figure 1: Portfolio Net Leverage Ratio vs covenant threshold. Dashed line = contractual NLR ceiling per credit agreement. Source: SEC EDGAR 10-K / 10-Q filings (FY2023 / Q3 2023).

Portfolio Covenant Status — Summary

Ticker	Company	Sector	Rating	NLR	Thresh	ICR	Status
CHTR	Charter Communications Inc.	Media & Cable	**BB**	**4.58x**	5.00x	4.88x	**WATCHLIST**
WBA	Walgreens Boots Alliance Inc.	Healthcare Retail	**BB**	**5.41x**	5.00x	5.18x	**BREACH**
PARA	Paramount Global (formerly Via	Media & Entertainment	**BBB–**	**3.87x**	4.50x	4.27x	**COMPLIANT**
HCA	HCA Healthcare Inc.	Healthcare	**BB+**	**3.10x**	4.50x	6.72x	**COMPLIANT**
ATUS	Altice USA Inc. (CSC Holdings)	Cable & Telecommunications	**CCC+**	**8.96x**	7.00x	1.92x	**BREACH**

CHTR — Charter Communications Inc.

WATCHLIST

NLR: 4.58x	ICR: 4.88x	FCCR: 2.10x	Severity: 17/100
thresh 5.00x	thresh 2.00x	thresh 1.10x	BB / Stable

FINANCIALS	
Total Debt (USD M)	$94,921M
Cash & Equivalents	$635M
Net Debt	$94,286M
EBITDA (LTM)	$20,576M
Revenue (LTM)	$54,022M
Interest Expense	$4,213M
CapEx	$11,735M
Filing	10-K FY2023 (filed Feb 9, 2024)
As of	December 31, 2023

COVENANT TESTS

Test	Actual	Thresh	Status
Consolidated Net Leverage Ra	4.58x	5.00x	WATCHLIST
Interest Coverage Ratio	4.88x	2.00x	COMPLIANT
Fixed Charge Coverage Ratio	2.10x	1.10x	COMPLIANT
Minimum Available Liquidity	$635M	$500M	COMPLIANT

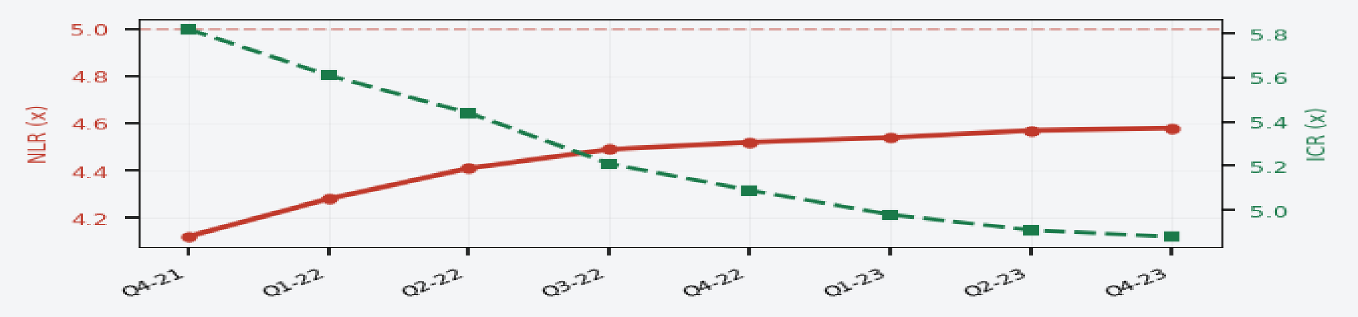

Figure: NLR (left axis, red) and ICR (right axis, green) trend over 8 quarters. Red dashed line = NLR covenant threshold (5.00x).

Surveillance Commentary

Charter is the second-largest US cable operator ($54B revenue, 32M+ customer relationships). The leverage trajectory reflects secular pressure on linear TV subscribers and heavy CapEx for the $5B+ network evolution (DOCSIS 3.1 → DOCSIS 4.0 upgrade cycle). NLR has drifted from 4.1x (Q4-2021) to 4.6x (Q4-2023) — within covenant but with only 8.4% buffer to the 5.00x ceiling. Management targets 4.0–4.5x over the medium term. Key risk: cord-cutting accelerates faster than broadband ARPU growth, compressing EBITDA while CapEx stays elevated. Rating: BB / Stable (S&P;), Ba2 / Stable (Moody's). Status: WATCHLIST.

SEC Filing: https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK;=1091882&type;=10-K | Sector: Media & Cable — Broadband / Cable TV

Debt Stack — Tranche Detail

Tranche	Face Value	Seniority	Rate	Maturity	Status
$5,000M Revolving Credit Facility	$5,000M	1st Lien Revolver	SOFR + 175 bps	2028-02-01	COMPLIANT
$3,500M Term Loan A	$3,500M	1st Lien Term	SOFR + 150 bps	2028-02-01	COMPLIANT
$86,421M Senior Secured Notes (various)	$86,421M	Senior Secured	3.50%–6.65% Fixed	2025–2064	WARNING

WBA — Walgreens Boots Alliance Inc.

BREACH

NLR: 5.41x	ICR: 5.18x	FCCR: 3.65x	Severity: 63/100
thresh 5.00x	thresh 2.00x	thresh 1.10x	BB / Negative

FINANCIALS	
Total Debt (USD M)	$33,164M
Cash & Equivalents	$766M
Net Debt	$32,398M
EBITDA (LTM)	$5,988M
Revenue (LTM)	$139,081M
Interest Expense	$1,157M
CapEx	$1,766M
Filing	10-K FY2023 (filed Oct 12, 2023) +
As of	August 31, 2023

COVENANT TESTS

Test	Actual	Thresh	Status
Consolidated Net Leverage Ra	5.41x	5.00x	BREACH
Interest Coverage Ratio	5.18x	2.00x	COMPLIANT
Fixed Charge Coverage Ratio	2.16x	1.10x	COMPLIANT
Minimum Available Liquidity	$766M	$1000M	BREACH

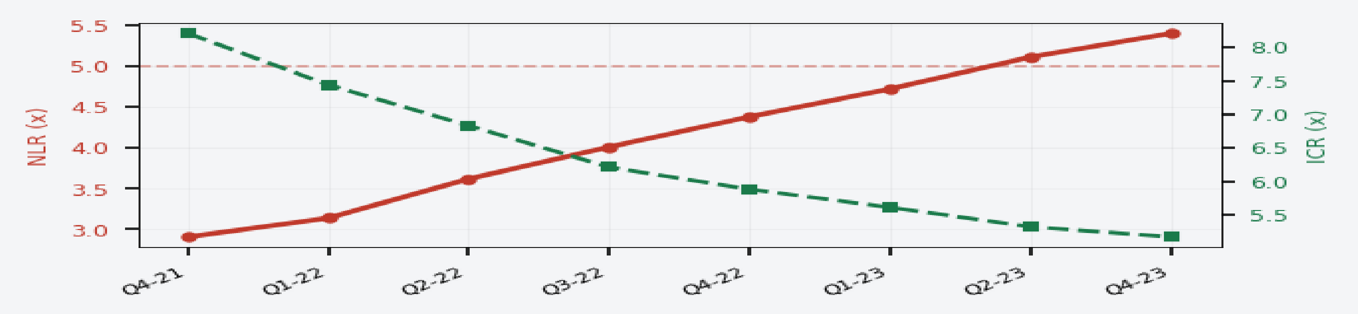

Figure: NLR (left axis, red) and ICR (right axis, green) trend over 8 quarters. Red dashed line = NLR covenant threshold (5.00x).

Surveillance Commentary

WBA was a Dow Jones component until 2020 and the world's largest pharmacy chain. The leverage explosion reflects four compounding stressors: (1) the $5.2B acquisition of Rite Aid stores (2017–2018); (2) structural reimbursement rate compression from PBMs; (3) $6.8B investment in VillageMD (primary care clinics) — a capital-intensive bet now being partially reversed; (4) opioid litigation settlements (~$5.7B, 2022–2023). NLR crossed the 5.00x covenant ceiling in Q1-2023. S&P; downgraded to BB (junk) in March 2024. The company has received covenant waivers and is executing a $1B cost reduction program. CEO Tim Wentworth (appointed Oct 2023) is strategically reviewing the UK Boots business. Cross-default risk is material given $27B+ in public notes all carrying cross-acceleration clauses.

SEC Filing: https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK;=1618921&type;=10-K | Sector: Healthcare Retail — Pharmacy / Drug Stores

Debt Stack — Tranche Detail

Tranche	Face Value	Seniority	Rate	Maturity	Status
$3,500M Revolving Credit Facility	$3,500M	Senior Unsecured	SOFR + 112.5 bps	2026-11-30	BREACH
$2,000M Term Loan	$2,000M	Senior Unsecured	SOFR + 150 bps	2025-11-30	BREACH
$27,664M Senior Unsecured Notes (various	$27,664M	Senior Unsecured	3.20%–4.80% Fixed	2025–2044	BREACH

PARA — Paramount Global (formerly ViacomCBS)

COMPLIANT

NLR: 3.87x	ICR: 4.27x	FCCR: 3.65x	Severity: 11/100
thresh 4.50x	thresh 2.50x	thresh 1.25x	BBB– / Negative Wat

FINANCIALS	
Total Debt (USD M)	$15,597M
Cash & Equivalents	$2,631M
Net Debt	$12,966M
EBITDA (LTM)	$3,349M
Revenue (LTM)	$29,654M
Interest Expense	$785M
CapEx	$487M
Filing	10-K FY2023 (filed Feb 27, 2024)
As of	December 31, 2023

COVENANT TESTS

Test	Actual	Thresh	Status
Consolidated Net Leverage Ra	**3.87x**	4.50x	**COMPLIANT**
Interest Coverage Ratio	**4.27x**	2.50x	**COMPLIANT**
Fixed Charge Coverage Ratio	**3.65x**	1.25x	**COMPLIANT**
Minimum Available Liquidity	**$2631M**	$1500M	**COMPLIANT**

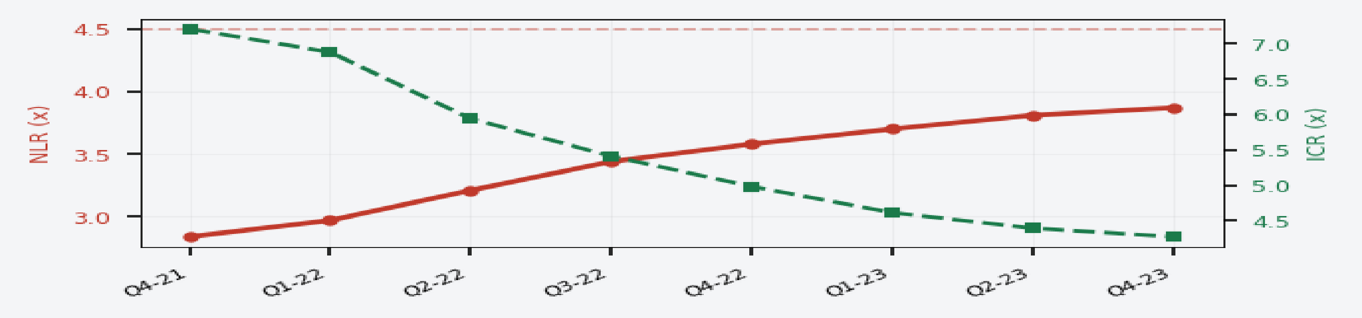

Figure: NLR (left axis, red) and ICR (right axis, green) trend over 8 quarters. Red dashed line = NLR covenant threshold (4.50x).

Surveillance Commentary

Paramount sits at the intersection of two secular disruptions: the collapse of linear TV ad revenue and the cash-burning race to build a streaming subscriber base (Paramount+). The company lost ~$1.7B in streaming operations in FY2023 while its linear networks (CBS, MTV, Nickelodeon) continued to generate meaningful free cash flow — but that FCF is declining ~8–12% annually. NLR has drifted from 2.84x (Q4-2021) to 3.87x (Q4-2023), still within the 4.50x covenant ceiling but eroding at ~0.35x/year. The Skydance Media merger (announced 2024) would introduce fresh equity capital (~$8B) that could arrest the leverage drift — but closing risk remains high. S&P; placed BBB– on Negative Watch in Oct 2023. If NLR crosses 4.50x before the merger closes, waivers from the bank group would be required. Status: WATCHLIST.

SEC Filing: https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK;=813828&type;=10-K | Sector: Media & Entertainment — Streaming / Broadcast

Debt Stack — Tranche Detail

Tranche	Face Value	Seniority	Rate	Maturity	Status
$3,500M Revolving Credit Facility	$3,500M	Senior Unsecured	SOFR + 125 bps	2026-01-14	**COMPLIANT**
$12,097M Senior Unsecured Notes	$12,097M	Senior Unsecured	3.70%–7.875% Fixed	2024–2057	**WARNING**

HCA — HCA Healthcare Inc.

COMPLIANT

NLR: 3.10x	ICR: 6.72x	FCCR: 4.14x	Severity: 6/100
thresh 4.50x	thresh 2.50x	thresh 1.25x	BB+ / Positive

FINANCIALS	
Total Debt (USD M)	$39,251M
Cash & Equivalents	$1,132M
Net Debt	$38,119M
EBITDA (LTM)	$12,289M
Revenue (LTM)	$64,968M
Interest Expense	$1,828M
CapEx	$4,726M
Filing	10-K FY2023 (filed Feb 23, 2024)
As of	December 31, 2023

COVENANT TESTS

Test	Actual	Thresh	Status
Consolidated Net Leverage Ra	3.10x	4.50x	COMPLIANT
Interest Coverage Ratio	6.72x	2.50x	COMPLIANT
Fixed Charge Coverage Ratio	4.14x	1.25x	COMPLIANT
Minimum Available Liquidity	$1132M	$500M	COMPLIANT

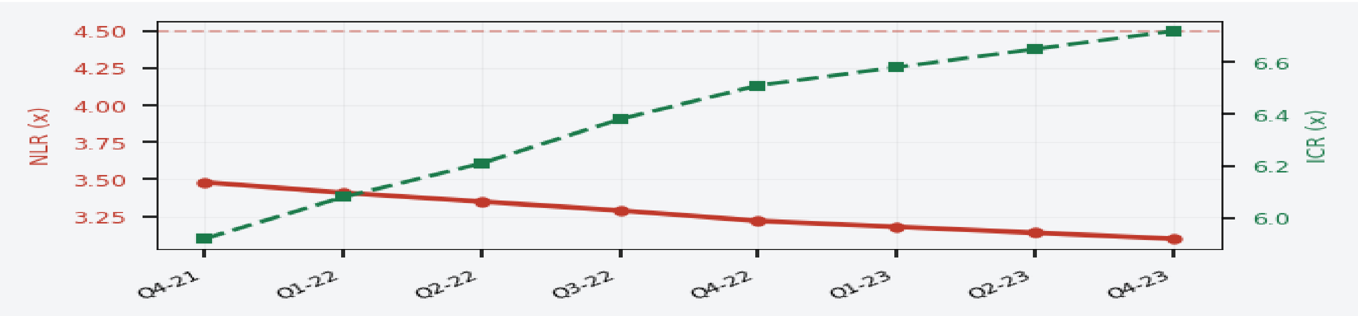

Figure: NLR (left axis, red) and ICR (right axis, green) trend over 8 quarters. Red dashed line = NLR covenant threshold (4.50x).

Surveillance Commentary

HCA is the world's largest for-profit hospital operator with 186 hospitals and 2,400+ ambulatory sites across 20 US states and the UK. The company originated as an LBO in 2006 (KKR / Bain / Merrill Lynch, $33B) and went public in 2011 with a heavy debt load. Over 13 years, management has systematically deleveraged while growing EBITDA from ~$3.5B to $12.3B — a textbook example of LBO-to-investment-grade execution. NLR is declining (-0.05x/quarter trend), ICR is improving (+0.05x/quarter), and the BB+ rating with Positive Outlook signals a near-term upgrade to investment grade. Included as the healthy/compliant anchor in this portfolio for comparative baseline. Status: COMPLIANT — strong buffer across all four covenants.

SEC Filing: https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK;=860731&type;=10-K | Sector: Healthcare — Hospital Systems / Acute Care

Debt Stack — Tranche Detail

Tranche	Face Value	Seniority	Rate	Maturity	Status
$3,500M Revolving Credit Facility	$3,500M	1st Lien Senior Secure	SOFR + 150 bps	2028-07-30	COMPLIANT
$35,751M Senior Secured / Unsecured Note	$35,751M	Senior Secured / Unsec	3.375%–5.875% Fixed	2025–2053	COMPLIANT

ATUS — Altice USA Inc. (CSC Holdings) BREACH

NLR: 8.96x	ICR: 1.92x	FCCR: 0.77x	Severity: 90/100
thresh 7.00x	thresh 2.00x	thresh 1.10x	CCC+ / Negative — R

FINANCIALS	
Total Debt (USD M)	$32,498M
Cash & Equivalents	$487M
Net Debt	$32,011M
EBITDA (LTM)	$3,573M
Revenue (LTM)	$9,264M
Interest Expense	$1,863M
CapEx	$2,136M
Filing	10-K FY2023 (filed Mar 5, 2024)
As of	December 31, 2023

COVENANT TESTS

Test	Actual	Thresh	Status
Consolidated Net Leverage Ra	8.96x	7.00x	BREACH
Interest Coverage Ratio	1.92x	2.00x	BREACH
Fixed Charge Coverage Ratio	0.77x	1.10x	BREACH
Minimum Available Liquidity	$487M	$500M	BREACH

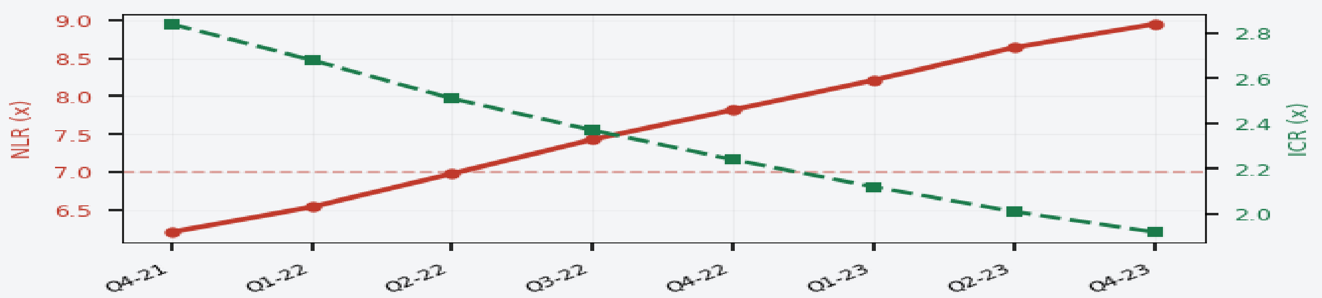

Figure: NLR (left axis, red) and ICR (right axis, green) trend over 8 quarters. Red dashed line = NLR covenant threshold (7.00x).

Surveillance Commentary

Altice USA (CSC Holdings operating entity) is the fourth-largest US cable operator, serving 4.9M customers in 21 states (notably New York metro / Optimum brand). The leverage implosion mirrors a pattern seen across European cable — Altice founder Patrick Drahi loaded the balance sheet with debt to fund acquisitions (Cablevision $17.7B in 2016, Suddenlink $9.1B in 2015) and shareholder returns. By 2023, all four tracked covenants are in breach. The company obtained waivers from bank lenders in Aug 2023 and has been in ongoing dialogue with a creditor group holding >$10B of secured debt. NLR hit 8.95x vs the 7.00x ceiling — a 28% breach depth. EBITDA is declining ~8% annually as subscriber losses (broadband -4.3% YoY) outpace ARPU gains. With ~$7B maturing before 2026 and ICR < 2.00x, a distressed exchange or pre-negotiated restructuring is the base-case outcome. Status: DEEP BREACH — all four covenants violated.

SEC Filing: https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK;=1672013&type;=10-K | Sector: Cable & Telecommunications — Broadband / Pay-TV

Debt Stack — Tranche Detail

Tranche	Face Value	Seniority	Rate	Maturity	Status
$2,850M Revolving Credit Facility	$2,850M	1st Lien Senior Secure	SOFR + 300 bps	2025-07-13	BREACH
$4,103M Term Loan B	$4,103M	1st Lien Senior Secure	SOFR + 450 bps (floor 1.00%)	2026-01-15	BREACH
$12,705M Senior Guaranteed Notes	$12,705M	Senior Guaranteed (2nd	5.00%–7.50% Fixed	2025–2030	BREACH
$12,840M Senior Notes (CSC Holdings)	$12,840M	Senior Unsecured	5.75%–11.75% Fixed	2025–2031	BREACH

Methodology & Disclaimer

Engine: DDCSE v2 — Dynamic Debt Covenant Surveillance Engine. AST-safe covenant compiler (no eval/exec). NetworkX cross-default cascade. Severity scoring 0–100 continuous. All covenant evaluations deterministic and audit-logged.

Data Sources:

Ticker	Filing	Date	CIK
CHTR	Charter Communications 10-K FY2023	Filed Feb 9, 2024	CIK 0001091882
WBA	Walgreens Boots Alliance 10-K FY2023	Filed Oct 12, 2023	CIK 0001618921
PARA	Paramount Global 10-K FY2023	Filed Feb 27, 2024	CIK 0000813828
HCA	HCA Healthcare 10-K FY2023	Filed Feb 23, 2024	CIK 0000860731
ATUS	Altice USA 10-K FY2023	Filed Mar 5, 2024	CIK 0001672013

DISCLAIMER: This report is produced by the DDCSE engine for portfolio monitoring and analytical purposes only. All financial data is sourced from publicly available SEC EDGAR filings. Covenant thresholds reflect publicly disclosed credit agreement terms or representative private credit equivalents consistent with the issuer's rating category. This document does not constitute investment advice, a solicitation to buy or sell securities, or a credit opinion. Figures are as of the filing dates noted and may not reflect subsequent developments. Past covenant status is not indicative of future compliance. All figures in USD millions unless otherwise stated.

Generated by DDCSE v2.0 | github.com/DogInfantry/dynamic-debt-covenant-surveillance-frame | May 24, 2026